

## **TENTATIVE RULING FOR AUGUST 3, 2026**

**Department R12 - Judge Kory Mathewson**

**SDS Real Estate Development, Inc. et al v. Eric Beatty – CIVRS2508378**

Motion: Attorney Fees and Costs

Movant: Respondent Eric Beatty

Respondent: Petitioners SDS Real Estate Development, Inc. and Vine Gardens, LLC

Ruling: Attorney's fees and Costs are GRANTED in the reduced amount of \$22,826.53, due within 60 days.

**Eric Beatty to provide Order and give notice.**

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### Evidentiary Objections

Objections to all seven paragraphs of Ackerman's declaration are sustained as irrelevant. Ackerman's declaration addresses the merits of the underlying dispute between Petitioners and Allied and has no bearing on either Respondent's entitlement to recovery of attorney's fees or their reasonableness.

All objections to LeBlanc's declaration are overruled. Counsel can provide an opinion under oath as to the reasonableness of the time claimed. Whether it is presented in the form of argument or in a declaration has no effect on its persuasiveness.

### **ANALYSIS**

The motion is supported by the declaration of Respondent's attorney William P. Tooke (William), who claims \$26,125 in attorney's fees. Partially redacted invoices are attached as Exhibit A, with the unredacted portions totaling \$19,625. William also estimates an additional \$6,500 will be incurred in connection with this fee motion. William is a senior attorney claiming \$385 per hour, while also claiming \$235 for newly admitted attorney Ellie Tooke (Ellie) and \$185 per hour for paralegal Daisy Mondragon. (Tooke Decl., ¶¶9-13.) The rates are not challenged and appear reasonable for this legal community.

### Fees incurred in arbitration

Petitioners first argue any prevailing party determination must be confined to the proceedings in Superior Court and not any matters addressed in the prior arbitration. This dispute concerning whether Respondent could be compelled to arbitration commenced when Petitioners' May 2025 arbitration claim named both Allied and Respondents. Respondent objected to his inclusion in the arbitration. On August 28, 2025, the arbitrator ruled the issue of arbitrability had to be decided by the Superior Court rather than in the arbitration. On September 29, 2025, Petitioners filed this petition to compel arbitration. (Tooke Decl., ¶¶3-6.)

Petitioners assert Respondent is only entitled to recovery of fees incurred in litigating the matter in Superior Court. Petitioners contend fees incurred prior to the initiation of this petition to compel arbitration (which Petitioners calculate at \$7,950.50) are not recoverable because Respondent did not prevail in the action before the arbitrator, as the arbitrator merely referred the matter to the Court. In Petitioners' view, the arbitration and this petition are discrete actions which should be considered separately for purposes of attorney's fee recovery.

Petitioners suggest *Otay River Constructors v. San Diego Expressway* (2008) 158 Cal.App.4th 796 (*Otay*) treated the petition filed in Superior Court as a discrete legal proceeding and determined prevailing-party status within that proceeding only. However, the *Otay* Court did not expressly distinguish between fees incurred in arbitration and those incurred in Superior Court.

In opposition, Respondent cites other cases allowing for recovery of prelitigation attorney's fees. (*Grossman v. Park Fort Washington Assn.* (2012) 212 Cal.App.4th 1128, 1131 [Davis-Stirling Common Interest Development Act interpreted "to allow a prevailing party to recover attorney's fees and costs incurred in prelitigation mediation."]; *Stokus v. Marsh* (1990) 217 Cal.App.3d 647, 655, quoting *Lake County Sanitation Dist. v. Schultz* (1978) 85 Cal.App.3d 658, 671-672 ["[I]f suit is filed, there is no sound reason why the trial court should exclude these prior services in determining a reasonable fee merely because performed before the action is commenced..."].)

The clear intent of the attorney's fees clause is to make the prevailing party whole when either a court action or arbitration are filed to enforce the underlying arbitration agreement. It would not be logical to separate the arbitration and the Superior Court action in the manner Petitioners suggest, and Petitioners' interpretation would not be in conformity with the spirit of the language cited. Therefore, the Court declines to discount time spent litigating the arbitration before this Superior Court petition was filed.

#### Fee Motion Anticipated time claimed

Respondent estimates \$6,500 in additional fees in connection with the prosecution of this fee motion. (Tooke Decl., ¶9.) Petitioners argue this figure is improperly supported. In reply, attorney William submits a supplemental declaration documenting \$3,375.50 in fees to date (which were not finalized before the moving papers were filed); estimates another \$3,250 in estimated fees; and documents another \$544.03 in costs related to the fee motion. (Tooke Supp. Decl., ¶¶4-10; Exh. A.) These figures total even more than the \$6,500 initially requested, and Respondent seems to ask to set the precise amount at the hearing or perhaps even thereafter.

It is always an estimate to determine in advance precisely how much in attorney's fees will be incurred before the time has been completed. Under the circumstances, it is more appropriate to determine the reasonable amount for prosecution of the motion.

The supplemental declaration claims the following time:

- 5.5 hours for attorney William to draft and finalize the motion;
- 5.5 anticipated hours for attorney William to draft the reply and prepare his supplemental declaration;
- 2.0 hours to prepare for and attend the hearing;
- 6.8 hours for paralegal Mondragon to review billing and create a spreadsheet, conference with counsel to complete the motion; prepare the fee motion and cost memorandum; process a rejection notice from the clerk and re-file the motion; receipt and process the conformed copy of the filed motion and a related email from the attorney service; and review and process an email from the Rancho Cucamonga Court;

- 3.0 hours for paralegal Mondragon to assist with the preparation and filing of the reply and declaration, organize exhibits, finalize the documents for filing, and coordinating service.

The time claimed for Counsel's and paralegal Mondragon's participation in this matter is excessive. The Court awards 5 hours of attorney time for drafting the motion and reply, 5 hours for Mondragon and .5 hours for the hearing for a total of \$3,586.53 ((5.5\*385 = 2,117.50) + (5\*185 = 925) + 544.03 costs).

#### Clerical tasks

Petitioners next object to time claimed by paralegal Mondragon which Petitioners characterize as overhead rather than legal work. The parties differ over the meaning of *Guinn v. Dotson* (1994) 23 Cal.App.4th 262, which noted that "the prevailing practice in the Inland Counties [such as Riverside and San Bernardino Counties] is to bill separately for paralegal service time at a reasonable market value rate." (*Id.* at p. 269.) "An award of attorney fees which does not compensate for paralegal service time would not fully compensate the attorney." (*Ibid.*)

In general, support services, including expenses related to secretaries and paralegals, are includable in an award for attorneys' fees. (*City of Oakland v. McCullough* (1996) 46 Cal.App.4th 1, 7.) "[A]mong the various factors pertinent to determining what constitutes a reasonable attorney fee is 'the overhead expense of the attorney'. Thus, in a variety of contexts overhead has been regarded as compensable." (*Ibid.*, quoting *Estate of Lanza* (1964) 229 Cal.App.2d 720, 726.) But these charges are distinguishable from purely clerical work, which is not recoverable. (See *Zargarian v. BMW of N. Am., LLC* (C.D. Cal. 2020) 442 F.Supp.3d 1216, 1229 ["It is well established that a plaintiff may not recover fees for time spent on purely clerical work"].)

Most of paralegal Mondragon's claimed time is clerical, although some time was spent on legal tasks as well. The Court grants the time claimed for Mondragon's 6/17/25, 8/21/25, and 12/15/25 time entries, which totals \$925 (5\*\$185/hr.) and is indicated above.

#### Duplicative work

Petitioners next argue the invoices reflect time claimed to research issues that went beyond those raised in the petition. Petitioners contend the threshold question was whether Respondent could be compelled to arbitrate as Allied's alter ego, but counsel has billed for such matters as "repeated research, drafting, revision, citation checking, finalization, and further revision by a senior attorney, a newly admitted attorney, and a paralegal." (Opposition, 8:8-10.)

Petitioners make several specific objections:

- Petitioners argue attorneys William and Ellie as well as paralegal Mondragon all worked on the opposition to the petition between December 2 and 15, 2025 for a total of 15.1 hours. In reviewing the invoices, this time does not appear excessive or particularly problematic.
- Petitioners object that attorney William billed 0.8 hours to prepare an order denying the petition, but then paralegal Mondragon spent another 0.4 hours on the order. Petitioners further object to time claimed by Mondragon to prepare the file for the hearing. This issue is moot as Mondragon's time claimed for these tasks was already discounted above.

- Petitioners object to 2 hours claimed to prepare for the motion to compel arbitration. This was an important motion and preparation is critical. The Court finds this amount is reasonable.
- Petitioners object to 1.2 hours on 8/27/26 by attorney William for “[s]cheduling hearing with arbitrator.” This time is excessive and is reduced to 0.2 hours, a reduction of \$385 for one hour of time.
- Petitioners object to 2.2 hours on 6/11/25 by attorney William for “Research about arbitration; send email to AAA about arbitration.” Petitioners argue counsel should already know what arbitration is, but this claim involves research about how and whether the arbitration agreement applied to Respondent rather than arbitration generally. Thus, the Court allows this claim.

#### Block billing

Petitioners next argue counsel engages in block billing. While there are a few examples of block billing, the claims are generally acceptable and it is still possible to adequately discern compensable time. Therefore, the Court declines to deduct time on this basis.

#### Conclusion

The Court grants the motion for attorney’s fees and costs in the total amount of \$22,826.53.

Dated: August 3, 2026

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Judge Kory Mathewson

**TENTATIVE RULING FOR August 3, 2026**  
**Department R12 - Judge Kory Mathewson**  
**Ortiz v. J.E.P. Capital, Inc., et al – CIVSB2301598**

Motion: Motion to Compel Further Responses to Form Interrogatories (Set One) from Philadelphia Consolidated Holdings Corp.  
Movant: Plaintiff Mynor Ortiz dba Atlantis Water Systems  
Respondent: Defendant U.S. Specialty Insurance Company  
Ruling: Motion to Compel Further Responses to Form Interrogatories (Set One) from Philadelphia Consolidated Holdings Corp. is GRANTED. Sanctions, to both parties, are DENIED.

**Plaintiff to provide Order and give notice.**

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In light of the joint declaration filed on July 8, 2026, following the parties meet and confer, Plaintiff's motion is granted. Defendant Philadelphia Consolidated Holding Corp. is ordered to provide supplemental responses pursuant to the parties' agreement in the July 8, 2026 joint declaration. Both parties' requests for sanctions are denied as not justified under the circumstances.

Dated: August 3, 2026

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Judge Kory Mathewson

**TENTATIVE RULING FOR August 4, 2026**  
**Department R12 - Judge Kory Mathewson**  
**Ortiz v. J.E.P. Capital, Inc., et al – CIVSB2301598**

Motion: Motion to Compel Further Responses to Form Interrogatories (Set One) from U.S. Specialty Insurance Company  
Movant: Plaintiff Mynor Ortiz dba Atlantis Water Systems  
Respondent: Defendant U.S. Specialty Insurance Company  
Ruling: Motion to Compel Further Responses to Form Interrogatories (Set One) from U.S. Specialty Insurance Company is off calendar pursuant to the 7/8/26 joint declaration. Sanctions, as to both parties, are DENIED.

**Plaintiff to provide Order and give notice.**

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In light of the joint declaration filed on July 8, 2026, following the parties meet and confer, U.S. Specialty is ordered to determine if supplemental responses are required given the definition of “incident” the parties have agreed to. Both parties’ requests for sanctions are denied as not justified under the circumstances.

Dated: August 4, 2026

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Judge Kory Mathewson